# Auto

## Intra-quarter forex freefall – earnings impact only delayed

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| Company | Rating | TP (won) |
|---|---|---|
| Hyundai Motor | BUY (M) | 570,000 (M) |
| Kia Corp | BUY (M) | 190,000 (M) |

### Won strength extends through July-August, persisting into September

The USD/KRW exchange rate came to W1,490 in July and W1,404 in August. Assuming today's base rate of W1,350 holds as the September average, the 3Q26 average will likely fall to around W1,415. From a sector-wide perspective, this could lead to contractions in both revenue and profit.

### Impact in 3Q26 to be limited by lower provisions

The negative forex impact on the two automakers' 3Q26 earnings should be partially offset by lower foreign currency warranty provisions. A projected W192 drop in the 3Q26 closing rate from 2Q26's W1,549 should reduce foreign currency provision liabilities.

### If trend persists, the real problem lies in 4Q26

If the USD/KRW rate stabilizes without further fluctuations in 4Q26 following the steep decline in the 3Q26 closing rate, the quarterly average would be W1,350, with zero change in forex-related provisions from end-period rate changes. In other words, the full impact of won appreciation on export profitability caused by the strong won will be fully reflected in 4Q26, not 3Q26. Conversely, if the forex rate rebounds in 4Q26, the increase in the end-quarter exchange rate could exceed the rise in the average exchange rate. In this case, higher provisioning would partially offset the improvement in OP driven by revenue growth.

### FX-related gains over past several years were real, as is current earnings decline

From 1Q23 to 2Q26, the USD/KRW exchange rate rose steadily, with the quarterly average rate increasing from W1,276/USD to W1,502/USD. This generated an estimated cumulative OP uplift of W3.7tn for Hyundai Motor (W260bn per quarter on average) and W4.3tn for Kia (W310bn per quarter on average)

### Maintain HOLD; increasing reliance on new businesses

Throughout the year, the share prices of major auto companies were driven more by new robotics businesses than by their core automotive operations. Even so, concerns over FX-driven earnings declines could weigh on valuations under the P/E methodology, which remains the most influential approach in determining corporate value. Potential catalysts for a sector-wide share-price re-rating include: 1) higher equity values from a re-rating of Boston Dynamics (BD); 2) global automobile market-share gains; and 3) a sharp rebound in the forex rate. Key downside risks include: 1) a continued decline in the forex rate combined with higher raw-material costs; 2) rising incentives amid intensifying competition in the BEV market; and 3) fading expectations due to delays in the rollout of BD's business.

*For analyst certification and other important disclosures, refer to the Appendix at the end of this report.*

## Quarterly average forex hits 10-year record drop

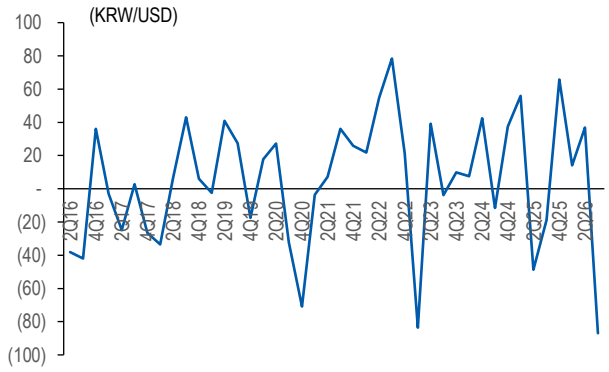
If the Sep 4 base USD/KRW rate of W1,350 persists through the end of the month, the 3Q26 average rate will decline to W1,415, down -W87/$ QoQ, marking the steepest decline in a decade. In other words, this would result in a sharp decline in the exchange rate applied to revenue recognition for automakers that produce vehicles domestically for export, potentially resulting in significant forex-related gains or losses.

**Sharp forex drop in 3Q26E after sustained rise**




Source: FnGuide Quantiwise, Yuanta Securities

**If Sep rate holds at W1,350, QoQ avg forex drop could hit 10-year high**

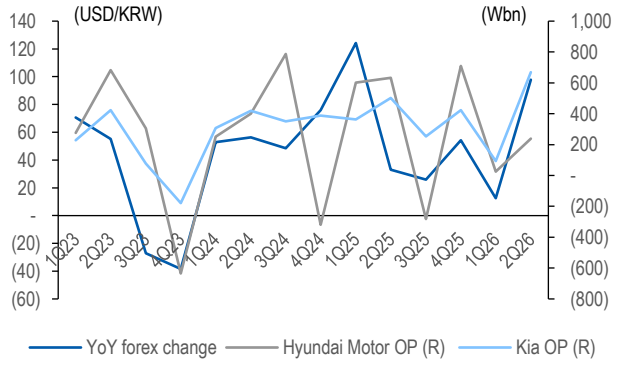



Source: FnGuide Quantiwise, Yuanta Securities

## Drop in average forex rate generally leads to lower OP

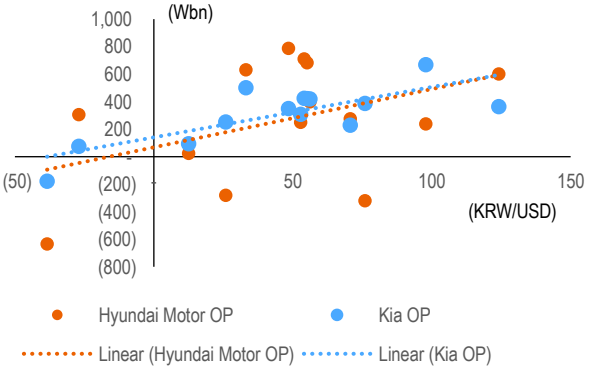
Examining the YoY changes in OP for Hyundai Motor and Kia resulting from forex effects show the following correlation between average forex rate and OP. This is because foreign currency sales from export volumes are converted into won. However, simply using changes in the average forex rate to measure the forex effect presents limitations, as fluctuations in OP vary even during periods of similar movements in the average forex rate.

**Hyundai and Kia: OP variance on YoY average forex changes**




Source: Hyundai Motor, Kia Corp, Yuanta Securities

**Time-agnostic scatter plot shows deviations from linearity**

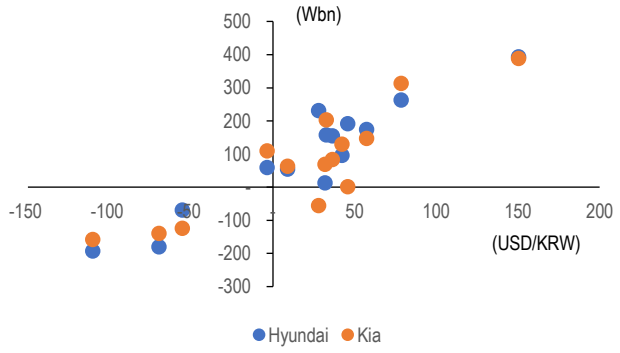



Source: Hyundai Motor, Kia Corp, Yuanta Securities

## Closing forex rate, the second forex rate influencing earrings

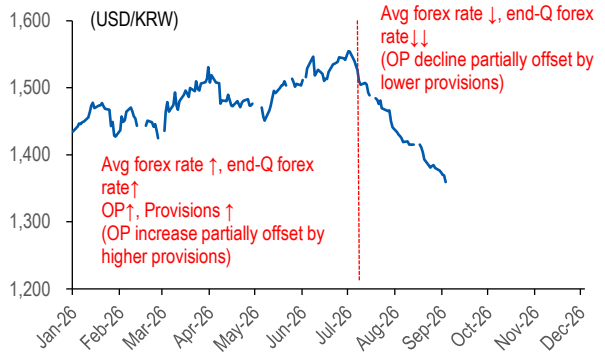
Even under similar average forex rate shifts, divergences in YoY OP contributions are likely driven by closing forex rate differences. Unlike recurring profit, which is affected by the average forex rate over the period, provisions for Hyundai Motor and Kia (mostly warranty provisions) are based on the won-converted value of foreign-currency-denominated balances at the end of the period. As such they are exposed to closing forex rates.

**Quarterly changes in major provisions vs QoQ changes in end-quarter exchange rate**




Note: major provisions include warranty provisions and others affected by FX differences. Source: Hyundai Motor, Kia Corp, Yuanta Securities

**Both average and end-quarter FX rates important; sharp drop in end-quarter FX rate to have particularly significant impact in 3Q26**




Source: Hyundai Motor, Kia Corp, Yuanta Securities

## Large decline in end-quarter rate provides offset in 3Q26; 4Q26E the key concern

Assuming the KRW/USD exchange rate remains at W1,350 throughout 2H26, the 3Q26 average exchange rate would decline by W87 QoQ, while the end-quarter exchange rate would fall by W192 QoQ. This means the decline in the end-quarter exchange rate would be substantially larger than the decline in the average exchange rate. As a result, the negative impact on OP could be relatively limited compared with the drop in the average exchange rate, as lower forex-related provisions would partially offset the earnings pressure.

The greater concern is 4Q26. If the end-3Q exchange rate closes at W1,350 and remains flat thereafter, the 4Q26 average exchange rate would fall by W65 QoQ, while the end-quarter exchange rate would remain unchanged. In other words, while the decline in OP caused by the lower average exchange rate would be smaller than in 3Q26E, the absence of an FX-related reduction in foreign-currency provisions could result in a larger net earnings decline.

**Quarterly changes in end-quarter and average exchange rates assuming W1,350/USD throughout 2H26** (Wbn)

| | 1Q24 | 2Q24 | 3Q24 | 4Q24 | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26 | 4Q26 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| QoQ change in end-quarter USD/KRW rate | 57 | 42 | -70 | 150 | -4 | -110 | 46 | 33 | 79 | 28 | **-192** | **0** |
| QoQ change in average USD/KRW rate | 8 | 42 | -12 | 37 | 56 | -49 | -19 | 66 | 14 | 37 | **-87** | **-65** |
| Change in FX-related provisions – Hyundai | 174 | 96 | -180 | 393 | 59 | -193 | 191 | 158 | 263 | 231 | | |
| Change in FX-related provisions – Kia | 147 | 129 | -140 | 389 | 109 | -159 | 1 | 203 | 313 | -55 | | |

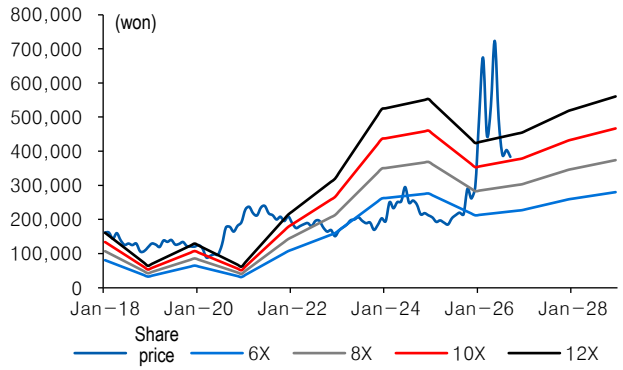
Source: Hyundai Motor, Kia Corp, Yuanta Securities

### Underlying auto fundamentals intact, sustained KRW strength clearly a concern

Earnings declines caused by forex rates do not reflect a deterioration in competitiveness in the global auto market and are unrelated to the underlying fundamentals of Korean automakers, since exchange rates are an exogenous variable.

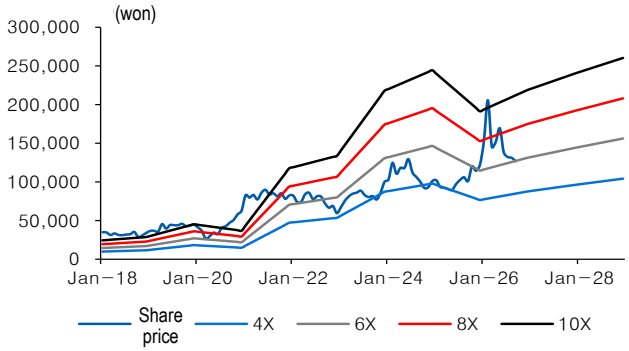
Consensus EPS estimates for both Hyundai Motor and Kia point to growth over 2026-2028. However, if current KRW strength persists, earnings estimates could be revised down. This, in turn, could make their P/E multiples appear elevated even without any further share-price appreciation.

**Hyundai Motor: P/E band**



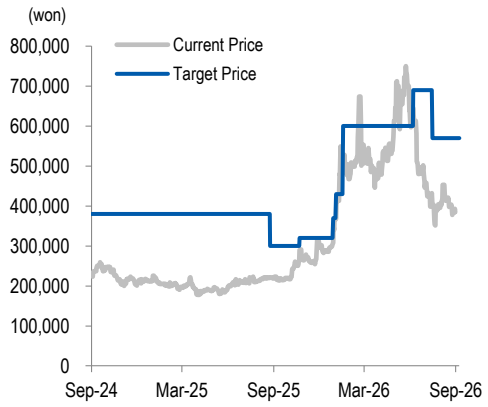

Source: FnGuide Quantiwise, Yuanta Securities

**Kia Corp: P/E band**




Source: FnGuide Quantiwise, Yuanta Securities

**Hyundai Motor (005380 KS) ratings and target price history**




| Date | Rating | TP (won) | TP time frame | Difference (%) | |
|---|---|---|---|---|---|
| | | | | vs avg price | vs high (low) |
| 2026/09/09 | BUY | 570,000 | 1 yr | | |
| 2026/07/24 | BUY | 570,000 | 1 yr | | |
| 2026/06/16 | HOLD | 690,000 | 1 yr | -29.81 | -10.43 |
| 2026/01/26 | BUY | 600,000 | 1 yr | -7.43 | 25.00 |
| 2026/01/12 | BUY | 430,000 | 1 yr | 8.51 | 27.67 |
| 2026/01/06 | BUY | 370,000 | 1 yr | -4.77 | -1.08 |
| 2025/10/31 | BUY | 320,000 | 1 yr | -12.47 | -1.41 |
| 2025/09/02 | BUY | 300,000 | 1 yr | -23.76 | -11.67 |
| 2025/09/01 | BUY | 380,000 | 1 yr | | |
| 2024/08/29 | BUY | 380,000 | 1 yr | -44.66 | -31.84 |

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

**Kia Corp (000270 KS) ratings and target price history**




| Date | Rating | TP (won) | TP time frame | Difference (%) | |
|---|---|---|---|---|---|
| | | | | vs avg price | vs high (low) |
| 2026/09/09 | BUY | 190,000 | 1 yr | | |
| 2026/01/29 | BUY | 190,000 | 1 yr | | |
| 2025/09/02 | HOLD | 120,000 | 1 yr | -0.95 | 43.42 |
| 2025/02/03 | BUY | 150,000 | 1 yr | -35.99 | -26.40 |
| | Analyst changed | | | | |
| 2024/04/29 | BUY | 150,000 | 1 yr | -28.77 | -11.80 |

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

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  **- Buy:** Expected to return between 15% and 30%
  **- Hold:** Expected to return between -15 and +15%
  **- Sell:** Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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